

CommonBlock — State of Play

September 30, 2026 · working draft. This replaces the September 28 State of Play. It covers what's decided, what's still open, what needs real-world data, and the questions for counsel. It is written for advisors, counsel, funders and prospective board members. All figures are illustrative outputs of the CommonBlock financial model (version R4, available on request); nothing here is an offer of securities or legal, tax or investment advice.

1. Where things stand

The fund design, the resident stake, the payment rails and the company plan are worked out and tie together in one financial model. There is no operating fund yet, no committed capital and no counsel sign-off. CommonBlock is not yet incorporated; it will be organized as a public benefit corporation. The next phase is testing the design against real South Shore deals, real funders, a card partner and real legal advice.

Area	Status
Fund structure (\$5M community + \$5M PRI, buildings bought over two years, sold at year 10)	Designed and modeled
Resident share (35% of appreciation, 1,500 stakes per fund, half the PRI concession)	Decided
Neighborhood dividend (20% of net operating cash flow)	Decided; suspension rule not yet modeled
Who holds a stake (unit stakes in program buildings, lottery for the rest)	Direction decided; lottery rules open
Wallet, Spend, Harvest and card-first checkout	Designed; card economics modeled with illustrative inputs; needs counsel and a partner
Owner buy-in advances	Designed; loss and collection assumptions are placeholders
Fees and company economics	Set to market benchmarks; modeled; card-sensitive
Company startup capital (\$2.3M split catalytic)	Modeled; not yet raised
Leadership	Recruit an independent board; CEO question undecided
Legal and regulatory questions	Open; counsel not yet engaged
Pilot fund PRI (\$5M first-loss)	Not yet sourced

2. The base case in brief

One neighborhood fund in South Shore; buildings bought 40% at the first close, 40% in year 1 and 20% in year 2; all sold at year 10; 3% rent growth; exit cap 75 bp below going-in; net of all fees.

- **Capital:** \$5M from about 1,465 community investors (average about \$3,400; \$500 minimum, \$20,000 cap) plus a \$5M philanthropic PRI that takes first loss and earns a capped 2%. The PRI commits and funds its full \$5M at the first close; neighbors invest in closings matched to acquisitions, after a minimum first closing held in escrow.
- **Assets:** about \$16.7M of buildings at about \$60,000 a door (about 278 apartments): 75% stabilized residential, 25% occupied mixed-use. Plus \$1.1M of improvement advances to owners of other buildings, reaching about \$22M of property (about 366 apartments). The portfolio is worth about \$28.5M at sale.
- **Community investors:** about 12.6% a year (IRR of their closings), about 3.0x their money. 11.8% if neighbors' capital were also raised at the start. About 15% before half the PRI concession and the dividend go to residents.
- **Granted-stake households:** 1,500 per fund: about 278 in fund buildings, about 366 in buy-in buildings, about 856 by lottery. On average about \$4,700 per stake over the hold (about \$470 a year): about \$2,400 of appreciation, about \$1,900 of PRI concession, about \$410 of dividend. Lottery stakes go to one household; unit stakes are shared across whoever lives in the apartment over the hold, and the amount paid at the sale goes to whoever lives there at year 10.
- **Neighborhood dividend:** about \$1.2M over the hold, paid in Spend to about 2,965 stakeholder households (granted plus investors): about \$41 a household a year on average, rising to about \$74 by year 10. (The model counts investors and granted holders separately; a household that is both is paid once.) CommonBlock adds 25% of its card net revenue (about \$6 a household a year by year 10).
- **Protection:** the PRI absorbs roughly the first 30% fall in portfolio value before community investors lose capital.
- **CommonBlock per fund:** fees from operations, plus about \$175K of promote and \$290K of disposition fee at the sale.
- **Company, year 10:** 16 neighborhoods, 26 funds, about \$614M of property; about \$15.3M of revenue including about \$2.8M of card interchange; value about \$31.0M (about \$16.0M with no card revenue); peak funding need about \$2.3M, covered by \$2.3M of catalytic capital repaid by year 10.

3. Decisions settled

Decision	Why
Price \$60,000 a door (was \$73,000)	\$73,000 was the 2024 level for Chicago's lower-cost buildings, the kind that make up most of South Shore (IHS DePaul), inflated by speculative buying. In 2024 only 34 South Shore 5+ unit

Decision	Why
	buildings sold (fewest since 2010) and 20 faced foreclosure suits, the most in a decade (IHS DePaul via The Real Deal, Feb 2026). Entry yield 9.43% on 2024 rents per apartment; brokers report South Side buildings trading near a 9% cap (Essex Realty Group). The yield drives the result: 12.2% for investors at 9.0%, 10.9% at the 2024 peak of 7.75%. To test against real deals.
Rehab costs raised (vacant \$52,500 a door; storefront \$47,500)	The earlier \$25,000–30,000 was aggressive.
Deal mix: 75% stabilized / 25% occupied mixed-use	The model optimum across 186 runs: at realistic rehab costs heavy value-add lowers both investor returns and the resident pool.
Storefront deals go to a separate venture	That venture is built for storefront businesses. Because the founder is involved in both, deals pass on arm's-length terms with an independent committee.
Staggered acquisitions and a staged raise	Buildings can't all be bought at close. The PRI funds its full \$5M at the first close, so the first-loss cushion is in place from day one; its idle cash earns interest (more than its capped 2%) and the fee runs on it from launch. Neighbors invest in closings, so their money doesn't sit idle (12.6% vs 11.8% if raised up front). Fees are charged on capital raised. Buildings bought in years 1–2 are modeled at year-0 prices and rents.
One community share: 35% of appreciation, everywhere	One number is easier to explain and administer.
1,500 granted stakes per fund , decoupled from the share	Fewer, larger stakes make the amount meaningful (about \$470 a year per stake vs about \$150 at 5,385). The pool stays at 35%.
Everyone in program buildings is included; the rest by lottery	Unit stakes for every apartment in fund and buy-in buildings: credits go to whoever lives there that quarter and stay with them. No lottery inside a building. Lottery stakes are personal, "win once"; each new fund runs a new lottery. Stakes start crediting the quarter a building closes.
Half the PRI concession goes to granted-stake households	It sends philanthropy's subsidy to the residents it is meant to serve while investors keep a market return. The "investors first to 13%" variant was rejected for steadier resident payouts.

Decision	Why
Neighborhood dividend: 20% of net operating cash flow	Makes the stake felt before the sale, is certain where appreciation isn't, and puts steady volume on the local rails. Suspended when debt coverage or reserves fall short. CommonBlock co-funds it as a percentage of card revenue, never a fixed amount.
Tenant guardrails	Spend and Harvest can't pay rent at CommonBlock-managed buildings; stakes are separate from leases (no offsets, no reductions for arrears, never clawed back).
Service hours dropped	Tracking is prohibitive, as a stake criterion and in gamification.
Spend is dollar-backed but restricted to the network	A plain stablecoin couldn't keep Harvest money local. Spend leaves the network only by redemption (7% rate for Harvest money).
Checkout is card-first	A partner-issued virtual debit card taps at any register, applies Spend at allowlisted merchants up to each merchant's limit, and charges the rest to the resident's dollars. Card merchants are paid in dollars through their normal processor and pay normal card fees; network merchants also take Spend directly by scan-to-pay in the app at 1.25%. How the card partner settles Spend at card merchants is open.
Crypto swaps are a later phase	Not in the pilot; Wealth tokens are never swappable.
Wealth tokens are credited on conservative marks (quarterly opinions less 8%, desk-appraisal calibration, no cap-rate credit until sale; never clawed back)	Overvaluation would transfer value from patient holders to early drawers.
Appraisal rule	Licensed appraisals for buying or selling property. Harvest uses the conservative mark. If the fund buys back an investor's interest before the sale, it pays the conservative mark. Granted stakes are never sold or redeemed early.
Harvest is a non-recourse advance (up to 60%, 4.5% local, 7% cash-out), funded by the fund itself and Harvest Notes	Lets residents use value now without selling the upside. Coverage at sale 3.0x (all buildings bought at once).
Prize-linked saving, sponsor-funded at \$60K a year	Rewards holding at no cost to residents or investors.
Market leverage, philanthropic match, no accredited money in the base case, mint for	Unchanged from the September 28 draft.

Decision	Why
access, market fees, 90/10 sponsored/licensed, conservative rollout	
Card program in the company model (1.2% interchange, 70% to CommonBlock, \$30 per card a year, 40% / 3% adoption, \$800 a month)	Interchange is the platform's real revenue; inputs other than the interchange rate are illustrative.
Leadership ask: recruit an independent board	Whether the founder is CEO is undecided.
Entity wording	"Will be organized as a public benefit corporation" until filed.

4. Disclosed downside

Scenario	Community investor return	Per granted stake a year
Base	12.6%	about \$470
2% rent growth	11.0%	about \$365
No exit-cap improvement	11.8%	about \$395
Both	10.0%	about \$295
30% fall in exit value	7.3% (Harvest shortfall absorbed by investors; the PRI is untouched)	about \$130
All capital raised up front	11.8%	about \$470
Entry yield 9.0% instead of 9.43%	12.2%	about \$455
Entry yield 7.75% (2024 peak)	10.9%	about \$425

5. Decisions open

1. **Lottery rules.** Eligibility (residence, income, tenure), whether investing households can also hold a granted stake, and how results are verified. A granted stake now pays more than a small investor earns; the break-even ticket is about \$2,200.
2. **Dividend suspension rule.** Set the coverage cushion and reserve target, and add it to the model.
3. **Card and stablecoin partner.** One partner for custody, identity checks, card issuing and bank linking, ideally. Whether residents hold a dollar balance in the app or the partner settles from the bank next day.
4. **Card adoption.** Validate adoption and spending per household. At 20% adoption and \$500 a month the company is worth about \$17.1M and needs about \$3.2M, leaving about \$1.7M of

catalytic capital owed at year 10; at 60% and \$1,000, about \$45.8M. Card use has to be proven before the rollout speeds up.

5. **Leadership model.** Founder as CEO, or a hired CEO (about 5% and \$175K) with the founder as executive chair. Hiring raises the startup need to about \$3.5M.
6. **Sourcing catalytic capital (\$2.3M) and PRI appetite** for \$5M matches per neighborhood, committed at each fund's first close.
7. **Property management margin** (15% benchmarked; 11% → \$28.6M company value, 25% → \$37.1M).
8. **Buy-in credit placeholders** and owner appetite for a 20% share.
9. **Renovation at unit turnover** is one-sided (fixed 12% yield on cost).
10. **Valuation costs** (about \$26K a year per fund) may be light.
11. **Retirement / institutional exit.** Idea: sell in year 9 to catch the 2027 Opportunity Zone round, e.g. to an OZ fund via an UPREIT-style structure. Constraints: substantial improvement of existing buildings, contributed property generally doesn't qualify, pensions get no benefit, South Shore tracts must be designated. Not modeled.
12. **Programs from the earlier design:** business-lending sleeve, developer carve-out, right-of-first-refusal first look, owner token swap. Decide which come back.
13. **Entity:** Delaware or Illinois.

6. What needs real South Shore data

- Prices per door in real trades today, and the deal flow for stabilized and occupied mixed-use buildings.
- Rent growth and exit cap rates; the Obama Center re-rating is real but unproven.
- Buy-in owner interest, loss rates and collection.
- Opinion-versus-appraisal bias once valuation starts.
- Property management costs at CommonBlock's scale.
- Card adoption and spending, merchant uptake of the network, how much Spend merchants reinvest in Harvest Notes.

7. Operating policies carried over

- Heavy rehab on occupied buildings goes through owner advances, not debt.
- A tenant-initiated turnover gate with anti-inducement rules.
- Subsidized buildings stay subsidized.
- Spend and Harvest can never pay rent at a CommonBlock-managed building.
- Licensed appraisals whenever property is bought or sold.

8. Questions for counsel

- Securities: Reg A Tier 2 or Reg CF with a minimum first closing in escrow and rolling closings; the PRI's commitment at the first close; Wealth tokens and Harvest Notes; the

Harvest desk.

- Lending: non-recourse Harvest advances.
- Payments: Spend as a restricted dollar-backed token under the 2025 federal stablecoin law vs prepaid-access rules; money transmission; card-program merchant restrictions; split-tender disclosures; interchange revenue share.
- Stakes and the lottery: unit stakes; lottery and sweepstakes law; tax treatment of the grant, credits, dividend and advances; voucher and benefit eligibility; transferability.
- Prize-linked saving and gambling law.
- Philanthropy: PRI qualification; sending half the concession to granted households; private benefit; management fee on PRI capital; \$4958.
- The Trust: UBTI on the debt-financed share; profits interests in OZ funds and SPVs.
- Opportunity Zones: the 2027 round; QOF structure; a year-9 sale.
- Related parties: property management, fund fees, deals passed to the storefront venture.
- Public benefit corporation form and benefit reporting.

9. Next steps

1. Share the refreshed white paper, deck and site with prospective funders, board members and advisors.
2. Engage securities, payments and tax counsel.
3. Line up the pilot fund's \$5M PRI (committed at the first close) and the company's \$2.3M of catalytic capital.
4. Choose a card and stablecoin partner and test adoption assumptions.
5. Test the model against real South Shore deals at today's prices.
6. Recruit an independent board.
7. Design the lottery and unit-stake rules with residents and counsel.